

BEFORE THE FEDERAL MARITIME COMMISSION

CARLSTAR GROUP LLC f/k/a)
CARLISLE TRANSPORTATION)
PRODUCTS, INC. and CTP)
TRANSPORTATION PRODUCTS, LLC,)

Complainants

v.

UTi, UNITED STATES, INC.; UTi)
UNITED STATES, LLC; and DSV)
AIR & SEA, INC.)

Respondents

DOCKET NO. 17-08

**COMPLAINANTS' OPPOSITION TO
RESPONDENTS' MOTION TO DISMISS**

Complainants The Carlstar Group LLC f/k/a Carlisle Transportation Products, Inc. and CTP Transportation Products, LLC (collectively, "Carlstar"), respectfully submit this memorandum in opposition to the Motion to Dismiss (the "Motion") filed by Respondents UTi, United States, Inc., UTi United States, LLC, and DSV Air & Sea, Inc. (collectively, "UTi").

BACKGROUND

As set forth in Carlstar's Verified Complaint ("Complaint"), in 2016, due to concerns about the rates UTi was charging Carlstar, Carlstar engaged a professional auditor, Ocean Audit, Inc., to conduct an audit of UTi's charges during the period from 2011 through 2016 ("Ocean Audit"). (Compl. ¶ 23.) The Complaint alleges that the Ocean Audit revealed significant discrepancies between the amount UTi actually billed Carlstar versus the amount UTi should have billed Carlstar pursuant to service contracts between the parties (the "Agreements"). (Compl. ¶ 24.) The Complaint alleges that the amount Carlstar was overcharged, and the amount it overpaid UTi, was

at least \$805,825.26 for the period from 2011 through 2016, which is the sum of: (1) \$151,925.63 for duplicate pay and hybrid claims (set forth in Exhibits 5-9 to the Complaint);¹ (2) \$132,519.00 for bill of lading fee overcharges (set forth in Exhibit 10 to the Complaint); (3) \$385,730.93 for ocean freight billing errors (set forth in Exhibit 11 to the Complaint); and (4) \$135,650.00 for bunker fuel charge invoice errors (set forth in Exhibit 12 to the Complaint). The Complaint further alleges that prior to the Ocean Audit, Carlstar was not aware of UTi's overcharges alleged in the Complaint. (Compl. ¶ 25.)

The Complaint further alleges that, as a result of the overcharges uncovered by Ocean Audit, Carlstar conducted an internal audit of the pass-through and miscellaneous charges paid by Carlstar to UTi from January 2014 through April 2016, but could not identify any back-up documentation provided by UTi evidencing that \$4,349,344.50 of these alleged charges were actually incurred by UTi, thereby constituting overcharges, and that UTi has failed to provide this back-up documentation as Carlstar requested. (Compl. ¶ 31.)

The Complaint alleges that these acts, committed by UTi, constitute violations of the Shipping Act of 1984 (the "Act"). (Compl. ¶¶ 6, 36-38.) Specifically, UTi: (1) violated 46 U.S.C. § 41102(c) by failing to establish, observe, and enforce just and reasonable regulations and practices relating to or connected with receiving, handling, storing, or delivering property; (2) violated 46 U.S.C. § 41104(2) by charging rates greater than the published tariff and/or the Agreements; (3) and violated 46 U.S.C. § 41104 by charging unfair and potentially discriminatory fees. (Compl. ¶¶ 6, 36-38.)

¹ On a motion to dismiss, a court may consider "documents attached to the complaint as an exhibit or incorporated in it by reference [.]” See *Combustion Store Limited v. UniGroup Worldwide, Inc.*, 2015 WL 6110609, at *7 (citation omitted).

ARGUMENT

I. CARLSTAR’S CLAIMS SHOULD NOT BE DISMISSED FOR LACK OF SUBJECT MATTER JURISDICTION.

A. The Commission Has Jurisdiction Under The Shipping Act to Address Filing Requirements and Overcharging For Service Contracts Such as the Agreements Between UTi and Carlstar.

UTi contends that the five-year shipping relationship between Carlstar, a shipper, and UTi, a non-vessel-operating common carrier (NVOCC) licensed by the Commission during the relevant time period, License No. 001792, falls outside the scope of the Shipping Act, and, consequently, outside the subject matter jurisdiction of the Federal Maritime Commission. UTi attempted to assert an identical argument in its motion to dismiss in *Streak Products, Inc. v. UTi, United States, Inc.*, in 2013. See *Streak Products, Inc. v. Uti, United States, Inc.*, FMC N0. 13-04, Order (FMC Oct. 23, 2013) (Order Denying Motion to Dismiss). The Commission rejected UTi’s argument in the *Streak Products* case in 2013, and should do the same now in this matter.

Indeed, UTi once again seeks refuge in a regulatory quagmire of its own making. UTi’s Motion admits that the Agreements between UTi and Carlstar “called for all freight charges to Carlstar to mirror the charges between UTi and the Ocean Carrier.” (Mot. at 9.) Carlstar’s claim under 46 U.S.C. § 41104(2) includes an allegation that UTi violated the Act by charging rates greater than those permitted by the Agreements, which Carlstar contends should be considered a “service contract” under 46 U.S.C. § 41104(2)(A). UTi contends that Carlstar cannot maintain claims under the Act to remedy UTi’s apparent overcharging scheme because UTi inexplicably failed to file the Agreements with the Commission, as UTi was required to do pursuant to 46 U.S.C. § 40502(b)(1). (Mot. at 9.) While UTi notes that “[t]he Commission has statutory responsibility to ensure that parties implement agreements as approved by and filed with the Commission”

(citations omitted), UTi contends that the Commission’s authority “does not extend to agreements that are not filed with the [Commission].” (Mot. at 9.)

UTi made a similar argument in the *Streak Products* case, but the Commission rejected UTi’s contention that “if the common carrier completely fails to comply with the Act and does not publish a tariff at all . . . a shipper may not receive a reparation award because there is no measure of damages – no “delta between the service rate charged and the applicable tariff rate.”” *See Streak Products*, FMC NO. 13-04, Order at 7-8 (FMC Oct. 23, 2013). The Commission should likewise reject UTi’s subject matter jurisdiction arguments here, as UTi should not be able to escape regulation by the Commission by deliberately failing to comply with the Act’s filing requirements for service contracts like the Agreements between UTi and Carlstar.

B. A Referral to Arbitration Does Not Require Dismissal But Instead a Stay Pending the Result of the Arbitration.

UTi argues in the alternative that if the Commission recognizes the parties’ Agreements as an approved Commission service contract, the Commission should enforce the Agreements’ mandatory arbitration agreement and dismiss Carlstar’s Complaint. (Mot. at 10.) Carlstar is not opposed to arbitration should the Commission find that it has subject matter jurisdiction under the Act to address UTi’s overcharging under the Agreements. Yet the Commission would still have oversight responsibilities for the alleged violations. Any referral to arbitrate should not require dismissal of the pending Carlstar Complaint. Instead, it should require UTi to seek a stay of the action before the Commission, pending the result of the arbitration. The Commission would then have the right to enforce the recommendation of the arbitration or to resolve any issues that were not addressed in arbitration. It would also be able to lift the stay if UTi does not adhere to the requirements of the arbitration or continues to unduly delay a final resolution of the claims set forth in Carlstar’s Complaint.

Therefore, should the Commission be inclined to require the parties to arbitrate their dispute, Carlstar respectfully requests that the Commission stay this proceeding pending that arbitration, rather than dismissing Carlstar's Complaint, as UTi requests.

II. CARLSTAR'S COMPLAINT SHOULD NOT BE DISMISSED FOR FAILURE TO STATE A CLAIM.

UTi also attempts to side-step Carlstar's allegation that UTi violated 46 U.S.C. § 41104(2) by charging rates greater than its published tariff, (Compl. ¶ 37), contending that the Complaint fails to discuss the "application or relevancy in any way of UTi's potential tariff[.]" (Mot. at 13). Similarly, UTi attempts to dodge Carlstar's allegation that UTi violated 46 U.S.C. § 41104(4) by charging unfair and potentially discriminatory fees, (Compl. ¶ 38), contending that Carlstar does not allege "facts suggesting that UTi provided services to Carlstar pursuant to a tariff[.]" (Mot. at 13.) The Commission should not dismiss Carlstar's claims at this juncture, and should instead permit Carlstar to discover whether and when UTi even filed tariffs with the Commission and/or established some alternative Commission-compliant rate vehicle, and to discover their terms.

UTi needs to justify that the charges were covered by the service contracts, which it did not record, or were authorized by properly filed tariffs or an alternative Commission-compliant rate vehicle. UTi has promised documents to Carlstar for prior extensions to justify the charges. Yet, to date, UTi has not provided the full scope of requested documents, forcing Carlstar to seek the involvement of the Commission. However, the documents that are available clearly indicate that UTi charged amounts in excess of what the Agreements provided. A final resolution may require Carlstar to seek documents from third party carriers since UTi claims not to have retained the documentation.

Indeed, the Commission rejected similar arguments made by UTi in the *Streak Products* case, where the Court noted:

The Complaint alleges that “UTi issued invoices to Streak for FCL shipments in excess of the amounts set forth in UTi’s tariff,” that “UTi has overcharged [Streak] by billing amounts in excess of [UTi’s] lawful tariff from 2003 until the present,” and that UTi “charg[ed] Streak rates greater than those it charged other shippers.” These factual allegations, which must be taken as true when considering a motion to dismiss for failure to state a claim, “are detailed and informative enough to enable [UTi] to respond” to the allegation that UTi violated section 41104(4) by charging Streak rates greater than those it charged other shippers. UTi’s motion to dismiss the claim of violation of section 41104(4) is denied.

See *Streak Products*, FMC N0. 13-04, Order at 9 (FMC Oct. 23, 2013) (internal citations omitted).

III. UTI’S ARGUMENTS REGARDING THE STATUTE OF LIMITATIONS ARE WITHOUT MERIT.

The Commission should likewise reject UTi’s arguments concerning the statute of limitations. (Mot. at 14-15.) As set forth in the Complaint, prior to the Ocean Audit, Carlstar was not aware of UTi’s overcharges alleged in the Complaint. (Compl. ¶ 25.) Furthermore, the Complaint alleges that UTi and Carlstar entered into a series of tolling agreements beginning in January 2017, which extended a tolling period between the parties to August 31, 2017, and the Complaint was filed on August 29, 2017, within this tolling period. (See Compl. ¶¶ 32-34.) Indeed, the Commission rejected a similar argument that UTi made in the *Streak Products* case. See *Streak Products*, FMC N0. 13-04, Order at 11-12 (FMC Oct. 23, 2013).

CONCLUSION AND RELIEF REQUESTED

For the reasons set forth above, Carlstar respectfully requests that the Commission deny UTi’s Motion to Dismiss.

Respectfully submitted this 26th day of December, 2017.

/s/ Derek H. Swanson

McGUIREWOODS LLP

Derek H. Swanson, Esq.
McGUIREWOODS LLP
Gateway Plaza
800 East Canal Street
Richmond, VA 23219
Telephone: (804) 775-1157
Facsimile: (804) 225-5377
dswanson@mcguirewoods.com

John D. Padgett, Esq.
McGUIREWOODS LLP
World Trade Center
101 West Main Street
Suite 9000
Norfolk, VA 23510-1655
Telephone: (757) 640-3779
Facsimile: (757) 640-3968
jpgadgett@mcguirewoods.com

Elizabeth A. Hutson, Esq.
2001 K Street, N.W.
Suite 400
Washington, D.C. 20006
Telephone: (202) 857-1729
Facsimile: (202) 828-2963
ehutson@mcguirewoods.com

Attorneys for The Carlstar Group LLC

CERTIFICATE OF SERVICE

I hereby certify that I have this day served the foregoing documents upon all parties noted below by mailing via electronic mail a copy to each such person:

Ashley W. Craig
Wesley S. Sudduth
Neha Dhindsa
Venable LLP
600 Massachusetts Avenue, NW
Washington, DC 20001
awcraig@venable.com
wssudduth@venable.com
ndhindsa@venable.com

Counsel for Respondents

Dated at Richmond, VA, this 26th day of December, 2017.